GCC STRATEGY

Building a captive Global Capability Center

A leadership view on the strategic case, the decisions and the scale-up

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THE STRATEGIC QUESTION

When owning the capability becomes the strategic choice

Control

No Schneider leadership on the ground, and little say in how decisions were taken.

Visibility

A limited view of the activities and decisions taking place inside the partner.

Growth ceiling

Scope depended on the partner’s own aspirations, not on the business roadmap.

Concentration risk

Dependence on a single partner, with no room to add others and spread the risk.

Talent and identity

Employees sat inside the partner’s premises, with no office or identity of their own.

Geopolitical exposure

For a US-based business, outsourcing carried growing political sensitivity.

WHAT OWNERSHIP CHANGES

What owning the capability changes

Dimension	Partner-run centre	Owned GCC
Control	Partner runs the day to day	Schneider leadership on the ground
Visibility	Limited view of decisions	Direct view for global managers
Scope	Set by the partner’s aspirations	Set by the business roadmap
Risk	One partner, no alternatives	Option to work with several partners
Talent	Guests in partner premises	A distinct employer identity
Certainty	Exposed to outsourcing politics	Insourced and predictable

The shift gave the business more pride in its work and more certainty about its future.

THE DECISIONS THAT SHAPED THE MODEL

Four structural calls, made before any move

Where and how to set up

SEZ or non-SEZ, weighed on benefits and trade-offs. The SEZ route let the tax advantage accrue to Schneider rather than the partner.

Commercial structure

Partner contracting moved to the India entity, with billing kept in USD, so the partner saw no change and the relationship held.

Institutional backbone

A new legal entity with its financial backbone in SAP, and support functions for finance, IT, procurement, facilities and HR, with leaders hired.

Governance of the change

Government approvals through an external specialist, and partner and chargeback agreements redrawn for operating from a GCC.

SECURING THE MANDATE

Backing earned at the top, and earned again

This was the first SEZ set-up within Schneider India, so the case met real questions and apprehensions, and had to answer each of them.

It rested on a multi-year growth roadmap tied to the growth of the global business, with the financial benefits, risks and effect on existing service agreements set out.

When the pandemic paused the project, significant financial commitments were at stake, so the case was revalidated before work restarted.

Who had to be convinced

The business line's global SVP and CFO

The global head of HR and the head of R&D

The India CEO and CFO

Regional finance, real estate, procurement and HR

Partner teams, and local and global managers

PROTECTING THE BUSINESS

Three risks managed at once through the move

Business risk

No disruption to live projects. Met with readiness gates, defined fall-backs and a two-wave move.

Physical risk

Relocating and re-commissioning a very large hardware lab without losing project time.

People risk

Apprehension about the move, deepened by pandemic doubts. Handled directly with teams and managers throughout.

> Go-live with zero disruption to live projects, in the middle of COVID.

MAKING IT LAST

An institution that earned more work

Governance

Statutory representation, audit readiness across client, statutory and data-privacy audits, and a continuity plan proven in lockdown.

Talent and culture

A leadership pipeline, structured talent reviews with the global R&D head, and wellness designed in from day one.

Digital enablement

A hardware traceability platform that cut spend on new hardware, plus digitised approvals and vendor tracking.

Confidence of global teams

Seamless processes and dedicated support, with better control and visibility than they had at the partner.

That confidence moved more work in. Demand outgrew the business case, a second centre followed, and the charter widened from transfer to product and innovation.

LESSONS AND NEXT STEPS

What leaders can take from this

Design for the upside

A deliberately conservative plan for a first-of-its-kind move meant an expansion phase later, and sites that were not physically integrated.

Protect delivery first

The savings followed because the transition left live work undisturbed.

Treat identity as strategy

A distinct workplace and talent brand is part of the case, not a by-product.

Where I can help

Build-or-partner assessment

Whether and how to own the capability, weighed against its cost and risk.

Set-up and transition design

Structure, location, entity, leadership and, where relevant, partner exit.

Programme leadership

Interim leadership through the transition, with executive alignment.